

holding company.

A publicly traded investment holding company is one where the management team has wide freedom to invest as they see fit. They can invest in firms they own in the holding company. Or they can invest in outside firms. They can invest in public entities or private ones. They can even invest in different industries.

The best-in-class example is the aforementioned Warren Buffett's Berkshire Hathaway. It owns publicly traded stocks such as Coca-Cola and IBM.

But it also owns companies outright, such as GEICO and See's Candies. It is involved in a mix of industries, everything from insurance to retail.

Berkshire Hathaway is the model investment holding company. It's compounded value by almost 20 percent annually since 1965 (resulting in that 18,000-bagger). There are others, some of which we've mentioned: Leucadia National, Loews Corp., Brookfield Asset Management and Fairfax Financial Holdings. These are the most famous, with long track records of beating the market and compounding money year after year after year — for decades.

You would have been lucky to have put your money with any of them 20 or 30 years ago and left it there. We all know these names now. But what about finding the next generation of great holding companies? What about finding the Berkshire Hathaways of the next 20 or 30 years?

Now, that's an exciting project!

I recently spoke with a money manager, Todd Peters of Lyndhurst Alliance, who has dedicated himself to just such a project. He's already identified 113 candidates. And he's created a portfolio strategy where you can invest alongside him.

I want to share with you notes from my conversation with Todd and from research he shared with me.

"What I'm trying to do now," Todd told me, "is to find the smaller, lesser-known groups that I think have the ability to grow themselves or do deals where we'll look back 30 years from now and see a return pattern similar to Berkshire Hathaway."

He has been studying money managers professionally for two decades in a consulting role. The leaders of holding companies are,